



MINISTRY OF FINANCE

RESEARCH DEPARTMENT

MONTHLY ECONOMIC MONITOR

SEPTEMBER 2022

i. Introduction

This Monthly Economic Monitor (MEM) provides highlights of key macroeconomic developments during the month of September, 2022. The overall objective of this exercise is to keep management updated on the operating economic landscape. Furthermore, this MEM will inform the Quarterly Economic Bulletin¹ of the third quarter (July – September) and other economic background papers produced by the Ministry of Finance (MoF). It also forms part of efforts by MoF to design a comprehensive macroeconomic database that will be used to periodically monitor economic trends.

ii. Summary of Economic Highlights

The Russian-Ukraine conflict continues to adversely affect global growth, putting additional upward pressure on energy and food prices. These developments have eroded real incomes, triggering cost of living increases, which especially impacts vulnerable groups. Despite elevated prices, global oil prices continued to show a decline from August levels, contributing to a moderation of inflationary pressures domestically during September. Domestic economic activity remained positive on the back of strong growth in household consumption, amid tight financial conditions. The positive growth in household demand could further be boosted by the moderation of inflationary pressures. Meanwhile, the diamond sector outlook remained positive despite a decline during the second quarter of 2022, while the tourism industry continued to recover, but at a slow pace, potentially reflecting uncertainty in the global economy. The foreign exchange reserves have risen in the last two months, to P59.3 billion in August 2022 sufficient to cover only 10.2 months of imports of non-diamond goods and services. Much of the increase in Pula terms is due to exchange rate changes, and in US dollar terms there has been no increase.

Economic Highlights	Possible Implications
a. Global Economic updates Growth in the world's three largest economies, the United States, China, and the European Union is weakening, with significant spill overs to other countries. The IMF forecasts a global slowdown growth from 6.0% in 2021 to 3.2% in 2022 and 2.7% in 2023. The global slowdown in 2022 is as projected in the July 2022 while the forecast for 2023 is lower than projected then, by 0.2 percentage point. The baseline forecast for 2023 is highly uncertain, most forward-looking indicators suggest a further slowdown in global growth. At regional level, growth is projected to slow with Advanced Economies projected to grow at 2.4% in 2022 and 1.1% in 2023. The Emerging Markets and Developing Economies are also projected to slow from 6.6% in 2021 to 3.7% in 2022 and 2023. China is expected to decline from 8.1% growth in 2021 to 3.2% in 2022 and 4.4% in 2023. Sub-Saharan African growth is predicted to drop from 4.7% in 2021 to 3.6% in 2022 and pick to 3.7% in 2023. Growth in Nigeria dropped from 3.6% in 2021 and is projected to reach 3.2% and 3.0% in 2022 and 2023 respectively. On the other hand, South Africa's	Subdued global economic activity with spill over to the local economy.

¹ The Quarterly Economic Bulletin is released with a month lag after the end of each calendar quarter. It is downloadable at www.finance.gov.bw

projections show a decline from 4.9 % growth in 2021 to 2.1% in 2022 and further fall to 1.1% in 2023. The subdued decline in South Africa may negatively affect collection and distribution of SACU revenues possibly affecting distributions to Botswana in future years, as well as the buoyancy of the regional economy in general.	
b. Oil prices decline Brent Crude Oil prices continued to show a decline in September, reflecting improved supply. As at end of September, 2022 world crude oil prices were at \$77.29/bbl, down from \$97.01/bbl in August 2022. The reduction in oil prices fed through to domestic prices with local fuel prices being reduced: unleaded 93 and 95 down by P1 per litre, diesel 50ppm by 23t per litre and paraffin by 8t per litre. Going forward, the Brent crude oil spot price is forecast to average \$93/bbl per barrel in the fourth quarter of 2022 and \$95/bbl in 2023. These developments may ease inflationary pressures, especially food and fuel prices in the short to medium term. This may, however, be short lived following OPEC+ decision to cut oil supply. As such, upside risks to the inflation outlook remain elevated. Plans to build a strategic oil storage reserve by Botswana Oil, could serve to cushion the economy against future commodity price shocks.	<i>Possible Economic Implications:</i> Reduced inflationary pressures in the short-term.
c. Domestic activity remains strong Real GDP grew by 5.6% (y-on-y) during the second quarter of 2022, compared to 37.1% in the same quarter of 2021. The growth was mainly due to value added of Diamond Traders and Water and Electricity, recording 128% and 94.7% respectively. Other non-mining sectors like manufacturing (9.4%), ICT (6.1%), public administration (5.8%) as well as wholesale & retail (5.4%) also registered positive growth in 2022Q2. Mining & quarrying contracted by 3.4% during the period under review, owing to the decrease of the diamond and gold production by 5% and 18.9% respectively. The growth outlook remains positive, but there are downside risks associated with constrained demand, if the war in Ukraine is prolonged. Moreover, despite the lifting of the ban on cattle movement in some parts of the country, the combined effects of the suspension of beef exports due to the foot and mouth outbreak as well as drought, could derail growth in the agriculture and manufacturing sectors.	<i>Possible Economic Implications:</i> Positive growth prospects.
d. Diamond Sales record another increase De Beers' Group rough diamond production increased by 4% to 9.6 million carats in the third quarter of 2022 from 9.2 million carats in the same quarter in previous year. The increase came as a result of the treatment of higher-grade ores in Botswana, South Africa, and Namibia. Production in Botswana, increased by 4%, Namibia production increased by 33%, while in South Africa production	<i>Possible Economic Implications:</i> Increased mineral revenue collections.

increased by 5%. Production in Canada decreased by 7%. De Beers' provisional results indicates that rough-diamond sales increased to \$500 million during the eighth sight sale compared to \$492 million realised in the same sight sale in 2021. However, within-year comparisons shows that sales in cycle 8 were lower by 22% when compared to \$638 million of sales realised in cycle 7. The decline was due to the closure of polishing factories in India ahead of the Diwali holidays. Demand for rough diamonds remained steady, with rough diamond sales totalling 9.1 million carats in Q3 of 2022 compared with 7.8 million carats in Q3 2021 and 9.4 million carats from Q2 2022. While consumer demand for natural diamonds continues to be robust, a deterioration of global economic conditions, reduced consumer spending and continued Chinese COVID-19 lockdowns have the potential to impact demand for diamond jewellery.	
e. Trade Balance records surplus ² Botswana recorded a trade surplus of P3, 832.1 million in August 2022 from a deficit of P1, 536.1 million realised in the same month of the previous year. This is the fourth consecutive monthly surplus and the highest since the beginning 2022. This significant growth was mainly due to continued recovery in the performance of diamond exports from the effects of COVID-19 pandemic, as well as exchange rate changes. Total exports in August 2022 were P10, 758.4 million against imports of P6, 926.3 million, reflecting largely the rise in diamond exports. During the reference month, Diamonds, Copper and Machinery & Electrical Equipment contributed 88.8 percent, 4.1% and 1.9% to total exports in that in that order. Fuel is the main contributor to imports, accounting for 25% of the total in August, followed by Food, Beverages and Tobacco with a contribution of 14.9%. The trade surplus for the January to August 2022 is at P8.1 billion compared to a deficit of P4.9 billion recorded in 2021 as a result of increase in exports and imports, however, with moderate import growth given the much higher prices for imports of food and fuel, amongst other commodities. The foreign exchange reserves have risen to P59.3 billion in August 2022, sufficient to cover 10.2 months of imports of non-diamond goods and services.	<i>Possible Economic Implications</i> i. Improved economic activity ii. Increase in the number of months (10, 2) of import cover due to increased reserves.
f. Inflation slightly drops but remains higher Inflation dropped by 0.8% from 14.6% in August 2022 to 13.8% in September 2022, largely reflecting the fall in global oil prices, which translated to a decline of 2% in the domestic Transport index. Other	<i>Possible Economic Implications;</i> i. Cost of borrowing

² Statistics Botswana International Merchandise Trade Statistics August 2022

components that decline in the rate of price increase include Housing, Water, Electricity, Gas and Other Fuels and Miscellaneous Goods & Services. With the drop in inflation, households may experience stabilised to improved purchasing power however dependent on the rate of income growth. Despite this slowdown in inflation, it still remains well above the Bank of Botswana medium term objective of 3-6% driven mainly by the ongoing high global energy prices. This is compounded by increased costs for a variety of food items on the back of the impact of the Russian invasion of Ukraine on global fuel and food markets while at local level the imports restriction on some food commodities elevated the rise in prices. The Bank of Botswana expects inflation to continue on a downward trajectory and reach the 3-6% range by the third quarter of 2024. In response to persistent inflation, the Bank of Botswana increased the Monetary Policy Rate (MoPR) by 50 basis points from 2.15 percent to 2.65 percent in August 2022. This followed an earlier increase of 50 basis points in June 2022. The MoPR was maintained at 2.65 percent at the October MPC meeting.	remaining high. ii. The continued global high inflation which may trigger a global cost-of-living crisis.
g. Electricity Generation Improving Local electricity generation increased by 85.5% to 937,597 MWH during the second quarter of 2022, from 505,313 MWH in the second quarter of 2021. The increase was due to improved output from Morupule power plants which accounted for 99.3% of electricity generation in the country, compared to 0.4% and 0.3% that is generated from Matshelagabedi and Orapa emergency power plants, respectively. Imported electricity declined from 463,171 MWH in the second quarter of 2021 to 162,340 MWH in the second quarter of 2022, representing a by 65% decline. The decline in imported electricity, which has been noticeable since the fourth quarter of 2021, reflects to a large extent continued efforts to generate adequate electricity to meet domestic demand.	<i>Possible Economic Implications;</i> i. Increased output in Electricity value added ii. Reduced electricity imports
h. Transport sector performance improves. The sector recorded a total of 7,727 newly registered motor vehicles second quarter of 2022 representing a decline of 3.1% from the first quarter 2022. The registration is also lower compared to the pre-pandemic averages of 10 000 vehicles registered per quarter. Used vehicles, brand new and rebuilt accounted for 79.9%, 20.0% and 0.1%, respectively. The majority of the newly registered vehicles originated from Japan, accounting for 69.7%, while vehicles from South Africa and Botswana constituted 20.2% and 5.0%, respectively During Q2 of 2022, transportation of goods through the railway increased by 2.8% from 228,597 tonnes in Q1 2022 to 235,051 net	<i>Possible Economic Implications:</i> i. Increased trade in goods ii. Increased activity within the civil aviation industry.

tons of goods in Q2. Aircraft movements increased significantly to 17,902 movements in Q2 2022 from 8,802 in Q1 2022. International aircraft movements made up 20.7%, while 79.3% were domestic. A total of 77,151 people used Kazungula Bridge in the second quarter. This was an increase of 47.5% from 52,320 in the previous quarter. Arrivals constituted 52.5% of total movements on the bridge while departures made up 47.5% of the total.	
---	--

Apart from vehicle registrations, the results show improved sector activity following the relaxation of COVID-19 measures.	
---	--

DASHBOARD TABLE: PERFORMANCE OF ECONOMIC INDICATORS

Price Levels (%)	July2022	Aug 2022	Sep 2022	Source
National Inflation (%)	14.3	14.6	13.8	StB
Core Inflation (%)	7.6	8.0	11.4	StB
Exchange Rates	July 2022	Aug 2022	Sep 2022	
Rand (R/P)	1.3161	1.3208	1.3404	BoB
US dollar (\$/P)	0.0801	0.0791	0.0764	BoB
Euro (£/P)	0.0782	0.0781	0.0771	BoB
SDR (SDR/P)	0.0605	0.0602	0.0592	BoB
International Merchandise Trade (P mn)³	June 2022	July 2022	August2022	
Diamond exports	46,019.	54,838	64,386.5	StB
Live cattle exports	677	774.3	855.4	StB
Meat and meat product exports	82	96	104	StB
Fuel imports	8,141	10,434	12,165	StB
Food Beverages & Tobacco Imports	7,049	8,012	9,045	StB
Machinery & Electrical equipment imports	6,014	7,034	7,972	StB
Foreign Exchange Reserves (million)	June 2022	July 2022	Aug 2022	
Pula	54,238	60 500	59 260.4	BoB
US dollar	4,377	4 810	4616.4	BoB
Diamond Sales (million)	2022 Cycle 6	2022 Cycle 7	2022 Cycle 8⁴	
US dollar (mn)	638	638	500	DeBeers
Interest Rates (%)	July 2022	Aug 2022	Sept 2022	
Long Term Government Bond Rates (%)	8.53	8.73	8.73	BFS
Prime Lending Rate	6.26	6.76	6.76	BFS
Monetary Policy Rate (MoPR)	2.15	2.65	2.65	BoB
Botswana Stock Exchange	July 2022	Aug 2022	Sept 2022	
Domestic Company Index	7 254.4	7 364.8	7 401.8	BFS
Foreign Company Index	1 560.3	1 560.3	1 561.4	BFS
Currency in Circulation (million Pula)	July 2022	Aug 2022	Spt2022	
Notes	3 699.3	3 567.4	3 681.4	BFS
Coins	128.6	128.7	130.7	BFS
Debt (million Pula)	2021/22Q4	2022/23Q1	2022/23Q2	
Domestic Debt Stock	23,522.57	24,589.58	25, 370.58	MoF
External Debt Stock	17,366.99	1,7454.05	16,779.50	MoF
Total Government Debt	40,889.56	42,043.63	42,150.08	MoF
GDP Growth Rate (Y-on-Y)	2021Q4	2022Q1	2022Q2	StB
	5.6	7.0	5.6	

³ Calculated as a cumulative amount from January to review period.

⁴ Provisional result representing sales from 19-23 September 2022

iii. Key Economic news during the month of September 2022

Source	News Feed	Possible Economic Implications
Daily News, September 7 th 2022	i. Botswana coal world energy crisis solution <i>"Through its abundance of coal, Botswana is in a position to provide the world with the necessary relief from the current energy crisis". This was said by President Dr Mokgweetsi Masisi when receiving letters of credence from the European Union (EU), New Zealand and Greece envoys.</i>	Increase in the export of coal.
Mmegi Newspaper, 9 th September 2022	Debswana eyes four-year production high <i>"Diamond giant, Debswana, expects to produce 23.6 million carats this year, the highest since 2018, despite a P1 billion increase in operating costs and headwinds in the global economy. Last year, Debswana's local mines produced 22.3 million carats which at the time represented the highest level since 2019, helped along by a rebound in the global economy from COVID-19 and resurgent demand for the precious stones".</i>	i. Improved performance of the mining sector ii. Improved performance of revenue collections
Mmegi Newspaper, 9 th September 2022	iii. Farmers in panic mode following FMD outbreak <i>"The Foot and Mouth Disease (FMD) outbreak has stirred panic amongst farmers in the North East District (NED). The region has over the last two decades been experiencing the recurrence problem of FMD due to a number of reasons amongst them elephants destroying the border fence paving way for cattle to move freely between Botswana and Zimbabwe, thus spreading the disease."</i>	Decrease in beef export sales.
Bank of Botswana September 2022	iv. Optimistic Business conditions ahead. <i>"The results of the Survey suggest that firms are optimistic about business conditions in the third quarter of 2022 compared to the pessimism that prevailed in the second quarter. The optimism is reflected by firms' expectations of positive domestic economic performance, hence, some expected improvements in investment in plant, machinery, buildings, vehicles, equipment and other investment, compared to the June 2022 survey. Firms anticipate tight access to credit across all markets as central banks continue to increase rates amid high levels of inflation. Firms also expect cost pressures to remain high in the fourth quarter of 2022, mainly due to supply constraints arising from the Ukraine-Russia war. Firms expect inflation to remain above the Bank's 3 - 6 percent objective range in 2022 and 2023. Overall, the increase in business".</i>	Improved investor confidence following relaxation of COVID-19 measures.

Bank of Botswana September 16 2022	v. <i>Positive Standard and Poor's Sovereign Credit Rating and Economic Outlook for Botswana</i> <i>On September 16, 2022, S&P Global Ratings (S&P) released an update of the sovereign credit rating for Botswana. The rating agency maintained the country's sovereign credit rating for long and short term foreign and local currency sovereign credit at "BBB+/A-2", and the stable outlook. The stable outlook is on account of S&P's expectation that the demand for Botswana's diamond will remain strong against downsides risks presented by the weakening global economic activity.</i>	i. Stable outlook for the economy ii. Strong credit worthiness
Statistics, Botswana	vi. <i>ICT contributes 2.7% to GDP</i> <i>"At constant prices, the ICT sector contributed P1, 224.1 million of value added which is 2.7 percent of total GDP. The Postal and Courier Services sub-sector produced value added of P45.0 million at constant prices, thus contributing 0.1 percent of total GDP. Mobile cellular telephone subscriptions continue to grow, rising from 4,160,553 subscriptions in Q4 2021 to 4,243,124 in Q1 2022."</i>	i. Investment opportunities in ICT Sector. ii. Improved facilitation of the digital economy.
Statistics Botswana September 2022	vii. <i>International Statistics Brief Quarter 1, 2022</i> <i>Statistics Botswana produced for the first time the quarterly stats brief for Tourism Statistics. The Q1 Stats Brief and subsequent ones will provide a summary of international visitors and non-visitors entering the country on quarterly intervals while the annual report will continue to be published at the end of each year, giving detailed information on arrivals and departures as well as tourists arrivals for the entire year.</i> <i>The country received a total of 158,284 international visitors during the first quarter of 2022 representing 90.1 percent of total inbound arrivals. The majority of tourists were from the SADC region, with South Africa representing 35.8% percent of overall tourist arrivals. In Transit visitors represented the highest proportion of tourists at 47.9%, followed by Business tourists at 20.4% while Holiday tourists accounted for 16.8% percent of all the tourist arrivals. The relaxation of COVID-19 protocols has hence had a positive impact on the sector, envisaged to continue its strong performance in the medium to long run term.</i>	i. Data availability on tourism sector.